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November 22, 2025

Search Committee
Department of Economics
The Pennsylvania State University
University Park, PA 16802
USA

Dear Members of the Search Committee,

I am writing to express my interest in the tenure-track Assistant Professor position in the Department of Economics at The Pennsylvania State University. I am a Ph.D. candidate in Economics at Johns Hopkins University, advised by Professors Christopher D. Carroll, Nicholas W. Papageorge, and Stelios Fourakis, and I expect to receive my degree in May 2026. My research fields are macroeconomics, wealth and income dynamics, and computational economics.

My research agenda focuses on understanding the determinants of wealth inequality and the mechanisms through which heterogeneity in returns to wealth shapes aggregate outcomes. In my job-market paper, I estimate the degree of heterogeneity in individual portfolio returns using micro-data from the Survey of Consumer Finances and simulate a structural model in which households face idiosyncratic return risk. I show that allowing for persistent heterogeneity in returns substantially improves the model's ability to match the empirical distribution of wealth, offering a tractable way to connect micro-level return dispersion to macroeconomic inequality.

In a second project, I use the Health and Retirement Study to examine the relationship between interpersonal trust and portfolio performance. Building on the literature that finds a hump-shaped relationship between trust and income, I show that a similar relationship holds for individual returns to wealth measured in the HRS data, highlighting a behavioral channel through which social attitudes shape saving and investment outcomes. This work also provides new estimates of the persistent component of returns to net worth, which motivate the calibration of heterogeneity in my structural model.

Penn State's Department of Economics is a leading research department with strengths across macroeconomics, applied microeconomics, econometrics, and interdisciplinary scholarship. The position's broad-field search and emphasis on high-quality research, undergraduate teaching excellence, graduate student mentoring, and professional service align well with my training and research agenda. I am excited about the opportunity to engage with Penn State's active research community, contribute to its undergraduate and graduate programs, and collaborate with faculty working on macroeconomics, public finance, applied econometrics, and related areas.

Teaching. My teaching experience centers on undergraduate macroeconomics and an upper-level macro policy seminar, where I have led weekly discussion sections and held regular office hours for classes ranging from 16 to 40 students. My approach is student-centered: I aim to help students "convince themselves" that they have moved from confusion to understanding by holding structured

office-hour coaching that builds trust and confidence. At Penn State, I am prepared to teach *Principles of Macroeconomics*, *Intermediate Macroeconomic Theory*, *Money and Banking*, and *Quantitative Methods for Economics*. I would also welcome developing electives such as *Economics of Inequality and Tax Policy* or *Computational Macroeconomics and Policy*, emphasizing reproducible workflows, transparent coding practices, and evidence-based decision-making.

I believe I would be a strong fit because my computational and empirical toolkit allows me to (i) produce rigorous, data-backed estimates of returns and distributional outcomes, (ii) build and validate quantitative models that speak to macroeconomic and policy-relevant questions, and (iii) mentor undergraduate and graduate students in a research-intensive environment. I am enthusiastic about the opportunity to contribute to Penn State's teaching, research, and service missions.

I would be honored to join the Department of Economics at The Pennsylvania State University. Thank you for your consideration; I welcome the opportunity to discuss my fit with the department at your convenience.

Sincerely,

Decory Edwards